ASCO SECTION 18A RECEIPT ISSUING GUIDE

Effective date: 27 October 2026 | Approval basis: SARS approval letter dated 26 October 2026

1. Scope and approval status

ASCO is an approved Public Benefit Organisation under SARS Exemption Reference 930092287. SARS approved ASCO to issue tax-deductible receipts under section 18A effective 9 October 2026. The approval letter identifies these Section 18A activities: (1) promotion or advocacy of human rights and democracy; and (2) promotion or protection of family stability. Do not issue a Section 18A receipt for another programme or purpose unless its eligibility has been confirmed against the SARS approval and applicable law.

2. What qualifies

Issue a Section 18A receipt only for a bona fide donation that has been actually received or transferred and that will be used solely for an approved Section 18A public benefit activity. A donation of a service, including free professional time, skill or effort, does not qualify as a donation of property in kind. Do not promise a donor that the full donation will be deductible; the donor's deduction is subject to the Income Tax Act and applicable limits.

3. Required receipt information

Use the master template or fillable PDF and complete ASCO's legal name, address, PBO exemption reference, donor details, unique receipt number, receipt issue date, donation received date, donation amount or qualifying property-in-kind description and deemed amount, approved activity, declaration, and the name, designation, signature and date of the authorised person responsible for managing or controlling ASCO's income and assets. From 1 March 2026, donor nature, identification or registration details, trade name where applicable, donor income-tax reference, contact number, email address and unique receipt number are mandatory under SARS Public Notice 6762.

4. Numbering and register

Use the convention ASCO-S18A-YYYY-NNNN. NNNN must be sequential, unique and never reused. Record each issued, voided or corrected receipt in the controlled Section 18A Receipt Register with donor identity, receipt number, donation date, amount or in-kind details, approved activity, issue date, approving officer, delivery method and archive location. Keep the receipt, proof of donation, donor correspondence and allocation evidence together.

5. Approval and issue workflow

Verify the donor and donation; confirm the donation relates solely to one of the two approved activities; determine whether the donation is cash or property in kind; obtain a defensible valuation for qualifying property in kind and do not value donated services; allocate the next unique receipt number; complete the receipt; obtain review and signature from the authorised representative; issue the receipt to the donor; and archive the signed final copy. Never pre-sign or issue a blank receipt.

6. SARS third-party reporting and records

Approved Section 18A entities must submit IT3(d) third-party data to SARS. SARS currently identifies bi-annual reporting due on 31 October for 1 March–31 August and annual reporting due on 31 May for the full year of assessment from 1 March to the last day of February. ASCO should activate and maintain the required eFiling and IT3(d) facilities, reconcile the receipt register to the submitted data and obtain professional tax advice where needed. Retain books, records and supporting documents in accordance with SARS requirements and ASCO's records policy.

7. Controls and review

The Section 18A receipt is not a general sponsorship certificate, ordinary donation acknowledgement or proof that a donor qualifies for a deduction. Finance and programme records must support the exclusive use of qualifying donations for approved activities. If the activity, donation form, valuation or donor information is unclear, pause issuance and refer the matter to the Executive Director and the Board-approved finance function for review.

Official references

SARS Section 18A and IT3(d) Third Party Data page; SARS Basic Guide to Section 18A Approval, Issue 5; SARS Public Notice 6762, Government Gazette 53589, effective 1 March 2026. These sources should be checked for future changes before the template is revised.